

Getting FLC licensed for retaining walls

What we need from QBCC, what we're paying Alistair Coleman, and what it costs per job.

AUGUST 2026 · FOR DECISION

01 What we're asking the board to approve

#	DECISION	DETAIL
1	Apply for FLC's own QBCC company licence	Class to match Alistair Coleman's existing licence
2	Employ Alistair as a casual employee	Required by law — he must be an employee to be our nominee
3	Pay him 5% of each wall, all in	Wages and super together. About \$1,500 on a \$30,000 job
4	Retain \$16,000–\$24,000 of profit	To meet the \$12,000 net tangible assets test
5	Pause wall work over \$3,300	Until the licence is issued — see risks

02 Why we have to do this

FLC is an earthworks company, but **retaining walls are “building work”** under Queensland law. Any wall over **\$3,300 incl. GST** must be built by a QBCC-licensed contractor.

A company can hold that licence **only if it has a nominee** — a licensed builder who must be a **director, secretary or employee** of the company. An outside contractor cannot be a nominee. That is section 42B of the QBCC Act, and it is why we need an employment agreement rather than a subcontract.

THE POINT MOST PEOPLE MISS

An individual's licence does not license the company. If FLC Pty Ltd signs the contract with the homeowner, FLC Pty Ltd needs its own licence.

03 The deal with Alistair

TERM	WHAT WE'VE AGREED
Employment type	Casual — job by job, no commitment either way
Award	Award-free. Engaged for licensed judgement, not trade work — he stays off the tools
What he's paid	5% of each job, covering wages and super
Hourly rate	\$70/hr incl. 25% casual loading — the legal backstop, not the pay
Time per wall	Desk scope check plus 2 site visits ≈ 4.5 hours
Travel	Not paid time. Covered by the rate, plus a per-km vehicle allowance
Area	Brisbane and South East Queensland
His main job	Confirm <i>before we quote</i> that a wall is inside our licence and needs no engineer
What he does <i>not</i> do	He does not certify walls. An RPEQ engineer does that.

HOW THE PAY WORKS — A \$20,000 WALL

5% is **\$1,000**. Super takes \$107, leaving \$893 in wages. He works about 4.5 hours, so he's paid **\$315** along the way, then a **\$578 top-up** at completion. He receives \$1,000 — exactly 5%.

04 What it costs per job

JOB VALUE EX GST	5% = TOTAL	WAGES	SUPER	PAID DURING	TOP-UP	ALL IN*
\$10,000	\$500	\$446	\$54	\$315	\$131	~\$513
\$12,000	\$600	\$536	\$64	\$315	\$221	~\$616
\$14,000	\$700	\$625	\$75	\$315	\$310	~\$719
\$16,000	\$800	\$714	\$86	\$315	\$399	~\$821
\$18,000	\$900	\$804	\$96	\$315	\$489	~\$924
\$20,000	\$1,000	\$893	\$107	\$315	\$578	~\$1,027
\$22,000	\$1,100	\$982	\$118	\$315	\$667	~\$1,129
\$24,000	\$1,200	\$1,071	\$129	\$315	\$756	~\$1,232

JOB VALUE EX GST	5% = TOTAL	WAGES	SUPER	PAID DURING	TOP-UP	ALL IN*
\$26,000	\$1,300	\$1,161	\$139	\$315	\$846	~\$1,335
\$28,000	\$1,400	\$1,250	\$150	\$315	\$935	~\$1,438
\$30,000	\$1,500	\$1,339	\$161	\$315	\$1,024	~\$1,540

* WorkCover estimated at 3% of wages — confirm the actual policy rate. Excludes the km allowance and home warranty insurance. **Price walls at about 5.5% all in.**

IF A JOB RUNS LONG

Every extra hour adds **\$78** (\$70 wages + \$8 super) and comes out of the top-up first. Once extra hours exceed the top-up, the job costs more than 5% — which is why the agreement requires written approval before he exceeds budgeted hours.

05 The money we need in the company

QBCC will not licence a company that can't meet its **Minimum Financial Requirements**. FLC sits in the smallest category, **SC1**.

\$200,000 Maximum revenue	\$12,000 Net tangible assets	\$0 Cost to prove it — we self-declare
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NO SAFETY NET BELOW THIS

SC1 is the lowest category — there is nothing beneath it. The \$12,000 is a hard floor, and a Deed of Covenant (a director guarantee) is **not available** in SC1. The assets have to genuinely sit in the company.

Getting there on retained profits

TARGET NTA	PRE-TAX PROFIT TO RETAIN
\$12,000 — bare minimum	~\$16,000
\$18,000 — recommended	~\$24,000
\$20,000 — comfortable	~\$26,700

Why more than \$12,000? Company tax takes 25%, and the tax provision sits on the balance sheet as a liability until it's paid. Retain \$12,000 pre-tax and NTA lands nearer \$9,000 — which fails.

Why a buffer? If NTA falls **30% or more** below what we last told QBCC, we must lodge a full MFR report within 30 days — meaning accountant's fees, which is exactly what SC1 avoids. Sitting at \$12,000, a \$3,600 dip trips it.

Because we hire our plant, NTA is pure working capital

cash + debtors – creditors – hire invoices – GST – PAYG – super payable – tax provision

WHAT FOLLOWS	WHAT WE DO ABOUT IT
BAS liabilities are the trap. A profitable business can show near-zero NTA the week before a BAS is paid	Measure NTA <i>net of</i> those provisions — never off the bank balance
It swings between quarters with no plant to steady it	Hold the \$18,000–\$20,000 buffer
The 30% test measures against what we last reported	Declare a sustainable figure at a normal point in the cycle — not our best day

Don't buy plant to fix this. Financed plant brings its loan with it and usually makes NTA *worse* in year one. Keep hiring.

The faster alternative, if we want wall work sooner

ROUTE	SPEED	COST	LEAVES BEHIND
Retained profits — current plan	A quarter or two	Nil	Nothing — cleanest
Director capital injection	Immediate	\$12k–\$20k director cash as equity	Equity, recoverable later

06 Setup costs

ITEM	COST
QBCC company licence application fee	Confirm current figure — low hundreds for a trade class
Annual renewal	Same source
Nominee appointment	Nil or nominal
MFR declaration (SC1)	Nil — self-declared on the application form

ITEM	COST
Net tangible assets \$12,000	Not a cost — a balance-sheet holding requirement
Lawyer review of the agreement	~\$500–\$1,500 (<i>estimate</i>)
WorkCover policy	Premium on declared wages
QLeave registration	Nil. The 0.575% levy only starts at \$150,000 projects

07 QBCC forms and links

WHAT	WHERE
Check licence 76041 — is it FLC's or Alistair's?	myQBCC Portal → Licence Search
Company licence application — includes the SC1 declaration	form-licence-application-company.pdf
SC1 MFR declaration — standalone version	form-mfr-declaration-sc1-1.pdf
Incoming nominee form — appoints Alistair	form-licence-company-nominee-incoming.pdf
Change maximum revenue — when we outgrow SC1	form-mfr-change-max-revenue.pdf
Current licence fees	Licence fees
Financial eligibility requirements	Financial information
Structural landscaping (trade) class	Class details
Annual financial reporting — companies aren't exempt	Annual reporting
myQBCC reporting guide for SC1/SC2	guide-myqbcc-mfr-sc1-2.pdf
QBCC phone	139 333

NOTES ON THE FORMS

The **SC1 declaration is built into the company application form** — no separate lodgement needed when applying. It must be signed by **two directors, or one director and the secretary**. Ask on the call whether a professional indemnity exemption declaration applies to our class. Annual reporting for SC1 opens **1 November and is due 31 March** — profit and loss figures in the portal only, no paperwork to send.

08 The plan

#	STEP	WHO	WHEN
1	Search licence 76041 on the myQBCC portal. FLC's or Alistair's?	Directors	DO FIRST
2	Call QBCC 139 333 — the three questions below	Directors	DO FIRST
3	Confirm Alistair's licence class and expiry	Directors	NEXT
4	Build NTA to \$18,000–\$20,000 via retained profits	Directors / accountant	IN PROGRESS
5	Take no wall work over \$3,300 until licensed	All	LIVE NOW
6	Lodge the company licence application with the SC1 declaration	Directors	AFTER 4
7	Fill agreement placeholders — ABN, ACN, addresses, licence nos., km rate	Directors	CAN START
8	Lawyer review of the agreement	Solicitor	CAN START
9	Sign the agreement	Both parties	AFTER 8
10	Lodge the incoming nominee form, attaching the signed agreement	Directors	AFTER LICENCE
11	Payroll — PAYG, super 12% within 7 business days, payslips	Bookkeeper	BEFORE JOB 1
12	Add Alistair to WorkCover; register with QLeave	Directors	BEFORE JOB 1
13	If step 1 shows 76041 is Alistair's — fix the licence number on the website, quotes and socials	Directors	URGENT IF SO
14	Give Alistair the Fair Work and Casual Employment Information Statements	Directors	AT SIGNING
15	Schedule 1 before every quote, Schedule 2 every visit, keep 7 years	Both	ONGOING

The three questions for QBCC

- 1 “Our builder holds licence class [X]. What class of company licence can he be nominee for?”
- 2 “We build standalone retaining walls for homeowners, \$7,500 to \$30,000, not part of any other building work. Is that insurable work under the Queensland Home Warranty Scheme?”
- 3 “Does our earthworks revenue count toward the SC1 \$200,000 maximum revenue cap, or only the licensed building work?”

09 Risks the board should understand

RISK	WHY IT MATTERS	OUR CONTROL
Working unlicensed	Penalties around \$43,175 first offence — and an unlicensed contractor isn't entitled to be paid , only “reasonable remuneration” with no profit	No wall work over \$3,300 until licensed
Advertising a licence that isn't ours	If 76041 is Alistair's personal licence, advertising it as FLC's is a breach in its own right — and it may be happening right now	Step 1, then step 13
Licence lending	If Alistair signs off walls he didn't supervise it's an offence for both parties and damages both licences	Schedule 2 record at every visit — that's the evidence
Tiered walls	Two 800mm walls stepped up a slope aren't two exempt walls — the upper surcharges the lower. Build it as exempt and we've built an unengineered engineered wall: outside our licence, uninsured if it moves	Scope assessment before we quote
Alistair goes on the tools	Could pull him under the building award — 4-hour minimum engagements and allowances, and the 5% model stops working	Clause 4.5 of the agreement
Outgrowing SC1	At \$30k a wall, \$200,000 is fewer than seven walls a year . Exceeding declared revenue is a breach	Half-year check; move to SC2 before crossing
NTA dipping	Below \$12,000 breaches SC1; a 30% fall forces a paid MFR report	Hold the \$18k–\$20k buffer
Home warranty insurance	Unresolved. If it applies to standalone walls it's a per-job cost outside the 5%	Question 2 on the QBCC call

10 Open items

ITEM	OWNER	BLOCKING
Who holds licence 76041	Directors	Everything
Which company licence class matches Alistair's	Directors	The application
Home warranty insurance on standalone walls	Directors	Wall pricing
Whether earthworks revenue counts toward the SC1 cap	Directors	Category choice
Current QBCC application and renewal fees	Directors	Budget
FLC ABN, ACN, registered office	Directors	The agreement
Per-kilometre vehicle allowance rate	Directors	The agreement
When does NTA reach \$18,000?	Accountant	Application timing

Not legal advice. Have a Queensland construction and employment lawyer review the agreement before signing. Figures marked (*estimate*) are indicative. QBCC fees must be confirmed from the QBCC fee page.